

certainly they should have bestirred themselves at the end of 1930, when the working capital covenant had been violated, and not stood idly by until the default in interest payments nearly a year later.

The properties were sold at foreclosure in 1935, and in 1936 \$522.50 per \$1,000 bond was distributed to the holders, largely from the proceeds of a damage suit against another company.

#### NOTE 35

Evidence of the growth in financing through privileged issues and its late decline is provided in the following figures for the *total number of privileged issues outstanding* as listed in *Moody's Manuals* for the years indicated. Both bonds and stocks are included.

| Year | Total number<br>of privileged<br>issues outstanding | Convertible | Participating | With warrants |
|------|-----------------------------------------------------|-------------|---------------|---------------|
| 1925 | 434                                                 | 434         | (Not given)   | (Not given)   |
| 1926 | 613                                                 | 503         | (Not given)   | 110           |
| 1927 | 1,129                                               | 537         | 410           | 182           |
| 1931 | 2,668                                               | 1,214       | 862           | 592           |
| 1935 | 1,705                                               | 860         | 630           | 215           |
| 1939 | 1,629                                               | 912         | 536           | 181           |

*Statistical Series Releases* Nos. 208, 243, 295 and 339 of the S.E.C. show the characteristics of new issues sold for cash under the Securities Act of 1933, during the period from Apr. 1, 1937 through Sept. 30, 1939. The following data summarized from these releases indicate the trend of recent financing through privileged senior issues.

#### NOTE 36

The application of the antidilution formula to the somewhat complicated case of Chesapeake Corp. Convertible Collateral 5s, due 1947, is based on the following state of facts. The bonds, issued in May 1927, were secured by the pledge of Chesapeake & Ohio Ry. Co. common stock, into which they were made convertible after May 15, 1932. The indenture contained the customary antidilution provisions and stated that for the purpose of computing new conversion prices 1,190,049 shares of Chesapeake & Ohio common were to be deemed to be outstanding as of the date of issuance of the bonds.